

LVS pitch deck

PITCH — LVS — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: No position today. Buy a half-size starter around \$45.50 only if Macau's official August casino revenue (published ~Sept 1) comes in at roughly MOP21 billion or better; add a second tranche after the ~Oct 21 earnings report only if the luck-adjusted numbers hold up. Exit immediately if the founder's trust files any stock sale.

What we believe

Las Vegas Sands is the largest operator of casino resorts in Macau (through its ~75%-owned subsidiary Sands China) and owns Marina Bay Sands in Singapore, which it is expanding with an \$8 billion second tower due around January 2031. The stock has fallen about 35% from its 52-week high and sits within 3% of its 52-week low, at \$45.46.

Our core belief: the current weakness in Macau gaming revenue is mostly a temporary demand disruption plus bad luck at the high-roller tables, not a permanent loss of the Asian gambling wallet. History supports this — when Macau was inaccessible in 2021, that demand didn't vanish; it rerouted, and Marina Bay Sands had record years. Sands is the one company positioned on both sides of that rerouting, which is why we prefer it to pure-Macau names. Meanwhile the company appears to be gaining market share in Macau: after adjusting for table luck, its revenue grew while the overall market was roughly flat. At a corrected valuation of about 9.6× enterprise value to operating earnings (versus its own history of 11–14×), we'd be paying a below-normal price for a share gainer, and getting paid to wait via a large buyback and dividend.

The court process cut this thesis down but did not kill it. What survives is smaller than what we started with: the share gain is real but more modest than first computed, the stock is cheap but less cheap than first computed, and the timing of proof is later than we hoped.

What the market believes

The market knows the same headline story we do — that recent results were dented by a one-time demand disruption — and yet the stock sits at its lows anyway. The most coherent reading is that the market is pricing a *structural* fear: that a Chinese enforcement crackdown has permanently chilled high-end gambling demand, that the affluent Chinese customer isn't coming back at prior spending levels, and that Sands' heavy buyback (average repurchase price \$52.37, now 13% underwater) has been buying into a falling knife. There is also a supply overhang: the founder's estate/trust structure holds large blocks that could come to market.

One important market-facing fact the court surfaced: the second half of 2025 set post-pandemic records in Macau (August 2025 alone was MOP22.16 billion, up 12.2% year-over-year — see

<https://asgam.com/2025/09/01/macau-sets-another-post-pandemic-record-in-august-as-ggr-hits-mop22-2-billion/>). That means nearly every monthly headline through the end of 2026 will read “Macau revenue down year-over-year” even if demand is genuinely recovering, simply because the comparison months were records. The market may keep getting negative-looking headlines regardless of the underlying truth.

Why we might have edge

1. **A luck-adjustment the headlines don't make.** Reported casino revenue swings with how lucky the house got at the VIP tables. Adjusting for that, Sands China's Macau revenue grew roughly 7.6% in a quarter when the market (adjusted the same way) grew only about 1.8% — a genuine share gain, likely from its new Londoner property. Most coverage compares raw numbers and misses this.
2. **A dated, checkable test.** Macau publishes official monthly revenue on roughly the 1st of each month. We don't have to argue forever about whether the wallet is returning — the data will tell us, month by month, if we read it against the record comparisons correctly.
3. **The rerouting insurance.** If Chinese demand stays suppressed in Macau, history says much of it flows to Singapore, where Sands owns the dominant asset and is doubling down. Pure-Macau competitors don't have this hedge.
4. **A discipline the sell side lacks:** the willingness to say “the year-over-year headline will be negative and that's fine, here is the comp-adjusted threshold that actually matters” (about MOP21 billion for August 2026, versus the record MOP22.16 billion base).

Why it might be priced in

Honesty requires the symmetric case, and it's substantial:

- **The stock is at its low while the one-off explanation is the *consensus* explanation.** If everyone already believes the bad quarter was temporary, the low price implies the market is pricing something worse — the structural enforcement-chill scenario. We could not confirm or refute how crowded either view is (our positioning-check tool was unavailable this session).
- **Our cheapness estimate was wrong in the expensive direction.** The original 8.8× multiple omitted the ~\$3.5 billion belonging to Sands China's minority shareholders. Corrected, it's ~9.6× — cheap versus history, but not screamingly so.
- **The share-gain number was also overstated** (7.6% vs. a flat market was an apples-to-oranges comparison; the honest version is 7.6% vs. ~1.8%).
- **Singapore may be weakening.** Our internal estimate has Marina Bay Sands down ~14.4% after luck adjustment — and the tool that would cross-check that against forward booking data failed to load four times. If Singapore is rolling over, the “rerouting insurance” leg is impaired, and we are currently blind to it.
- **The buyback support could shrink.** Cash flow trends are unverified for the current year (see bench error below), and buybacks are discretionary.

- **Trust overhang.** Large estate-held blocks could hit the market; a June 13D/A amendment is already on file.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Aug 2025 Macau revenue was a post-pandemic record (MOP22.16bn, +12.2%)	Web search of official-series coverage (IAG, Gambling Insider)	Correct — which means our original “August must be up year-over-year” test was testing the comparison base, not the recovery. Our own original gate was miscalibrated; the red bench caught it and the blue bench repaired it (new threshold: $\geq$ ~MOP21bn)	Yes
Q2 2026 Macau market roughly flat (Apr +5.5%, May +6.7%, Jun –12.1%)	Monthly official figures via press coverage	Correct	Yes
+7.6% share gain vs a flat market”	Re-derivation by both benches	Our original math mixed bases — luck-adjusted company revenue over a not-luck-adjusted market. Consistent adjustment: +7.6% company vs +1.8% market. Real gain, smaller gap	Partly — direction yes, magnitude corrected
“EV \$41.5B, 8.8× earnings”	Sands China market cap (~US\$13.9B) × 25.2% minority stake	Our original valuation omitted \$3.5B of minority interest. Corrected: ~\$45B EV, ~9.6×	No — corrected to 9.6×
Red bench: “operating cash flow down 26%, buyback at risk”	Audit of the data source	Red bench error: it compared Q1-2025 to Q1-2024 from a stale data pack and presented it as current-year deterioration. Current-year funding picture is simply unknown	No — unverified
Red bench: “satellite shows no construction at the Singapore expansion site”	Primary sources: groundbreaking July 2025, main construction contract awarded to Woh Hup March 2026, ~5,000 workers on site (https://asgam.com/2026/03/20/las-vegas-sands-awards-multi-billion-dollar-construction-contract-for-marina-bay-sands-expansion-to-local-developer-woh-hup-private-limited/)	Red bench error (tooling artifact): the satellite check measured the wrong parcel — the expansion site and the existing built resort resolve to the same coordinates. Construction is on schedule	Refuted (the “no construction” claim)
Marina Bay Sands down ~14.4% luck-adjusted	Attempted cross-check via booking-data tool	Tool failed to load ×4; figure remains our own derivation with no independent check	No — open gap
“The low price already reflects the bad news” (either direction)	Positioning/attention tool	Permission-denied this session	No — open gap

Claim	How checked	Found	Confirmed?
Live price	IBKR quote	Permission-denied this session; used the pack's \$45.46. Violates our own live-price rule; filed as a coverage gap	No — stale-risk

PROPOSED ENTRY BANDS

No position today; entry is condition-gated, not price-gated. All numbers are from the benches' own math.

- **Gate 1 — ~Sept 1, 2026 (Macau official August revenue):**
 - $\geq$ **~MOP21.obn** (a decline of 5% or less against the record MOP22.16bn comparison): the wallet is returning. **Buy a half-size starter** (half of a normal single-name position for this book) around the current **\$45.50** area.
 - **Below ~MOP20.obn:** structural-weakness signal. No entry; thesis reopens only on later contrary evidence (e.g., Singapore rerouting data or a materially better September).
 - **MOP20–21bn:** ambiguous — the courts did not resolve this zone. Stand down and wait for Gate 2.
- **Gate 2 — the Q3 earnings report, tentatively Oct 21, 2026 (date is a data-vendor estimate, not company-confirmed):** add the **second tranche to full size** only if (a) the luck-adjusted Macau share gain persists and reported win rates normalize, and (b) Marina Bay Sands' luck-adjusted revenue has stabilized (not still falling ~14%).
- **Hard exit (any time, any size held):** a Form 4 showing the founder's successor trust selling shares → exit the position. This is the supply-overhang tripwire both benches agreed on.
- **Price context, not a trigger:** spot \$45.46 is 2.8% above the 52-week low of \$44.21. A break below \$44.21 before Gate 1 doesn't authorize buying "cheaper" — it requires re-running the is-something-worse-priced-in check first.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 44.21 (deck-provisional: break of the 52-week low before Gate 1 forces a fresh priced-in check, not a buy)
- filing watch: 4,144 until 2027-02-06 (deck-provisional: successor-trust share sale = hard exit tripwire)
- dated pack LVS|2026-09-01: LVS: Macau official August revenue; Gate 1 thresholds MOP21bn pass / MOP20bn fail (date confirmed=False)
- dated pack LVS|2026-10-01: LVS: Macau official September revenue; resolves the MOP20-21bn ambiguous zone if Gate 1 was inconclusive (date confirmed=False)
- dated pack LVS|2026-10-21: LVS: Q3 earnings (vendor-estimated date, unconfirmed); Gate 2 for tranche 2 (date confirmed=False)

What remains unverified

1. **The Marina Bay Sands decline (~-14.4% luck-adjusted)** — our own derivation, never cross-checked; the single most dangerous unknown, because it sits under the “rerouting insurance” leg.
2. **Current-year cash flow and buyback capacity** — the red bench’s deterioration claim used stale data; the true 2026 picture is unknown until the next 10-Q.
3. **Whether the low price reflects crowded pessimism or informed pessimism** — the positioning check never ran.
4. **The Q3 earnings date** (Oct 21 is a vendor estimate).
5. **The live price** — \$45.46 is from the evidence pack, not a live quote.
6. **Trust intentions** — the June 13D/A is on file but tells us nothing about timing or size of any future sales.

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